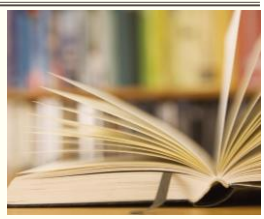
IFRS 15 – REVENUE FROM CONTRACT WITH CUSTOMERS

Effective date: 1 January **2018**



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- Overview
- The 5-step model illustrated by FPT Telecom
- Step 1 – Identify the contract(s)
- Step 2 – Identify the performance obligation(s) (POs)
- Step 3 – Determine the transaction price (TP)
- Step 4 – Allocate the TP to POs
- Step 5 – **Recognize revenue**

Overview

A customer

"*a party that contracts with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration*"

Contractors – But not customers

- Lessee (IFRS 16 – Leases; IAS 17 - Lease contract)
- Insured party (IFRS 4 – Insurance contracts)
- Investors (IAS 27 – Separate financial statements; IAS 28 – Investment in associates and joint ventures; IFRS 3 – Business combination; IFRS 9 – Financial instruments; IFRS 10 – Consolidated financial statements; IFRS 11 – Joint arrangements)
- Purchaser of PPE (IAS 16), Intangible asset (IAS 38)
- Non – monetary exchanges between entities in the same line of business to facilitate sales to customers or potential customers.

THE 5-STEP MODEL – ILLUSTRATED BY FPT TELECOM

FPT Telecom

01/02/2021, Ted subscribed for FPT Telecom's F6 plan, paid monthly, for 12 months.

FPT normally sells the Wi-Fi modem for VNĐ300.000 and provides the same network service for VNĐ170.000 per month without the modem which can be used for other network providers.

How should FPT Telecom recognize revenue from the contract with Ted?

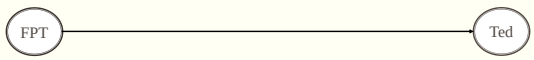
(Source: Internet)

Fpt Telecom	Các gói cáp quang FPT				
	F6	F5	F4	F3	F2
Tốc độ	16Mbps	22Mbps	27Mbps	35Mbps	45Mbps
Cước VNĐ/Tháng	180.000	220.000	250.000	280.000	370.000
Phí lắp đặt trả sau	ko áp dụng	ko áp dụng	300.000	300.000	200.000
Trang bị	Modem wifi 2 cổng hiện đại				
Trả trước 6 tháng	Miễn phí lắp đặt + tặng 1 tháng cước thứ 7				
Trả trước 12 tháng	Miễn phí lắp đặt + tặng 2 tháng cước thứ 13 và 14				

Stand-alone selling price: is the price at which the entity would sell a promised good or service separately to a customer

FPT Telecom

01/02/2021



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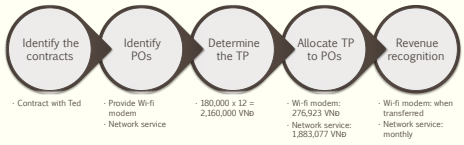
FPT Telecom – Journal entries

POs	Stand-alone selling price	Allocating PT to POs	Revenue	Billing
Wi-fi modem	300,000	276,923	276,923	0
Network services	2,040,000	1,883,077	156,923	180,000
Total	2,340,000	2,160,000		

01/02/2021 **28/02/2021**

Contract asset: Entity's right to consideration in exchange for goods or services that the entity has transferred to a customer when that right is conditioned on something other than the passenger of time.

The 5-step model – Illustrated by FPT Telecom



- Contract with Ted
- Provide Wi-fi modem
- Network service
- 180,000 x 12 = 2,160,000 VNĐ
- Wi-fi modem: 276,923 VNĐ
- Network service: 1,883,077 VNĐ
- Wi-fi modem: when transferred
- Network service: monthly

STEP 1 – IDENTIFY THE CONTRACT(S)

Attributes of a contract
Contract modification

Attributes of a contract

A contract is an agreement between two or more parties that creates enforceable **rights and obligations.**

- Parties to the contract have either orthographically or orally approved the contract and are **committed to perform** their respective obligations;
- The entity can **identify each party's rights** regarding the goods or services to be transferred;
- The entity can **identify the payment terms** for the goods or services to be transferred;
- The contract has **commercial substance**;
- It is **probable** that the entity will **collect the consideration** to which it will be entitled in exchange for the goods or services that will be transferred to the customer.

Contract modification

Contract modification

- **Change in the scope or price** (or both) of a contract that is **approved** by the parties to the contract.
- If the modification has **not** been **approve**, judgement is based on **enforceability** of the modification.

Contract combination

- The contracts are negotiated as a package with a single commercial objective;
- The amount of consideration to be paid in one contract **depends on** the price or performance of the other contract; or
- The goods or services promised in the contracts are a single performance obligation.

Separate or combine?

STEP 2 – IDENTIFY PERFORMANCE OBLIGATION(S)

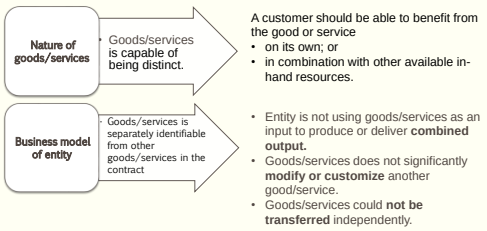
Explicit and implicit promises
Distinct criteria
Principle vs. agent considerations

Performance obligations

Promise in a contract with a customer to **transfer** to the customer either distinct goods/services or series of distinct goods/services.a

- **Distinct** can be both explicit (in the contract) and implicit (based on practices or policies)

Distinct criteria



A customer should be able to benefit from the good or service
- on its own; or
- in combination with other available in-hand resources.

- Entity is not using goods/services as an input to produce or deliver **combined output.**
- Goods/services does not significantly **modify or customize** another good/service.
- Goods/services could **not be transferred** independently.

Explicit vs. Implicit obligations – Illustrated example: ABC Co

ABC Corp., producer of cleaning machines, sells their cleaning machines to various companies. Determine the performance obligations in the following contracts:

In contract with the client A, ABC promises to deliver 10 cleaning machines for total price of CU 200 000. The contract A contains a clause about free repair and maintenance service within 2 years after purchase.

Explicit vs. Implicit obligations – Illustrated example: ABC Co

ABC Corp., producer of cleaning machines, sells their cleaning machines to various companies. Determine the performance obligations in the following contracts:

In contract with the client B, ABC promises to deliver 5 cleaning machines for total price of CU 100 000. No warranty is promised in the contract, however, ABC Corp. is well-known for its perfect customer services and providing 1-year free repair services in the past.

Explicit vs. Implicit obligations – Illustrated example: ABC Co

ABC Corp., producer of cleaning machines, sells their cleaning machines to various companies. Determine the performance obligations in the following contracts:

In contract with the client C, ABC promises to deliver 50 cleaning machines for total price of CU 1 000 000. No warranty is promised in the contract, and ABC usually does not provide any free services in the country of client C.

Distinct criteria – Illustrated example – MWI Corp

How many obligations?



How many obligations?



- IT company sells a software program to a customer at $8,500.
- It is not the only company that can install the software.



Software developers bundles
(i) software license,
(ii) installation services,
(iii) 2-day user training
(iv) Software upgrade in next 2 years.

Customers can benefit from the software after obtaining the license because it is functial without installation services (customer can install himself or get someone to install it), future updates and technical support

Software is customized to add new functionality to inferface with existing customized software applications by the customers, (ii) the customized installation service is bundled together with (i) the software license as one separate PO and not distinct the contract

STEP 3 – DETERMINE TRANSACTION PRICE

- Variable consideration
- Constraining estimates in variable consideration
- Significant financing component
- Non-cash consideration
- Consideration payable to customer

Transaction price (TP)

Amount of **consideration** an entity expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties (i.e. VAT).



Step 3: Determine the transaction price

Consider :

- Variable Consideration
- Constraining Estimates of Variable Consideration
- Significant Financing Component
- Non-cash Consideration
- Consideration Payable to Customer

TP – variable consideration

Transaction price **can be fixed or variable**.



Bonus, discount, rebate, incentive.



How to estimate variable consideration?



- **Expected value method** – Large number of similar transaction; Or
- **The Most likely outcome method** – Only 2 possible outcomes

TP – variable consideration – Illustrated Ex.: Ai Quoc Const.

Ai Quoc Construction company is contracted to build an office building on or before a deadline. If Ai Quoc meets the deadline, **the contract price is $100m**.

- Every 10 days delay, the contractor is required to compensate the customer by $5m.

There is 70% chance that the deadline can be met.
15% chance delay 10 days
10% chance delay 20 days and
5% chance delay 30 days.

TP – variable consideration – Illustrated Ex.: Ai Quoc Const.

a. **In year one**, Ai Quoc **completed 60%** of the job. How much revenue should be recognised?

TP – variable consideration – Illustrated Ex.: Ai Quoc Const.

b. **By the end of year two**, Ai Quoc completed 90% of the job, How much revenue should be recognised in year 2?

TP – Constraining estimates in variable consideration

What? Only include variable consideration in revenue to the extent that **significant amount** will not be reversed.

How? More probable than Less

TP – Significant financing component

Entities determine the significance of a financing component at an individual contract level rather than at a portfolio level.

Factors indicate **significant financing component**:

- Timing difference between goods or services transferred and payments due
- Prevailing market interest rate

Except when:

- The timing of the transaction is at the discretion of the customer (Gift card).
- A substantial portion of the consideration is variable and not under the control of the entity or customer (Sales-based loyalty)
- Difference between the promised consideration and the cash selling price of the goods or services is due to something other than financing (Withholding payment for guarantee obligation)

TP – Consideration payable to customer

For distinct goods or services, account for an added obligation.

Not for distinct goods or services, e.g. discount, or refund, reduce the transaction price

TP – Example of Consideration payable to customer

Example 1: **A manufacturer** launches hair colour products in a **retail chain store** with a contract of 4 years. At initial, manufacturer piles products of $4m to all the stores of the retail chain stores, who request manufacturer to pay a — listing fee‖ of $1m for the new product launch.

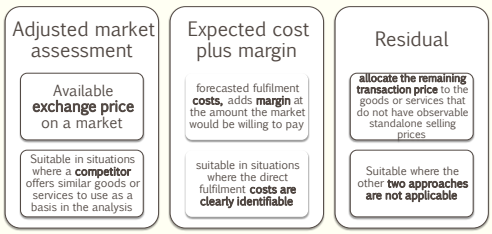
TP – Example of Consideration payable to customer

Example 2: A retailer sells a tablet to **customer A** for $100 on January 1 and **agrees to reimburse customer A** for the difference between the purchase price and any lower price offered by a certain direct competitors during the 3-month period following the sale. On a probability-weighted basis, the retailer estimates it will reimburse the customer $5.Z

STEP 4 – ALLOCATE TP TO PO(S)

Stand – alone selling price

Estimate stand-alone price



Estimate stand-alone price – Illustrated example

Vendor Y sells two items: product A and telephone support.

+ Product A is a tangible product used in a production process.

+ Telephone support is available for one year after delivery of all products.

On January 1, **Vendor Y** enters into an arrangement with **Customer U** to provide Product A on February 1. Telephone support also begins on February 1 and lasts for one year.

Total arrangement consideration is $6,000, due on delivery of product A.

Telephone support does not have an established price and is not sold separately to customers. Assume that the customers do not renew the telephone support after year 1 (i.e. there are no standalone sales of support). Vendor Y concludes that it has enough information on past selling prices to customers on Product A to support a standalone selling price. The majority of sales of product A to customers in the same region as Customer U were within the range of $5,000 to $5,500. Vendor Y decides to use the lower end of the range to establish standalone selling price. The telephone support has not been sold on a standalone basis and will have to be estimated

Estimate stand-alone price – Illustrated example

(1) Adjusted Market Assessment Approach. Under the adjusted market assessment approach, Vendor Y searches for competitors that sell similar **telephone support** services on a standalone basis.

Assume that Vendor Y finds information that **two competitors** are selling these services on a standalone basis between **a price range of $1,200 to $1,500**.

Based on this information, Vendor Y should consider the price that it could charge similar customers based on a number of factors: market share, expected profit margin, customer/geographic segments, distribution channel, etc.

After considering these factors, Vendor Y estimates that it could sell the telephone services **for $1,250** to customers with a similar profile to Customer U.

→ **The estimated standalone selling price would be $1,250 under this approach**

Estimate stand-alone price – Illustrated example

(2) Expected Cost Plus Margin Approach.

Under the cost plus margin approach, Vendor Y determines all of the direct and indirect costs associated with providing the telephone support.

The costs considered include, but are not limited to, the personnel employed to provide the support, the costs to provide the telephone lines, the telephones and computer equipment needed to provide the support, etc.

After considering all these costs, Vendor Y concludes that the telephone support will **cost $900**.

After determining the cost, Vendor Y should determine an appropriate margin that the market would be willing to pay by considering a number of factors, including: industry sales price averages, market conditions, profit objectives, margin achieved on similar products, etc.

After considering these factors, Vendor Y determines **an appropriate margin** in the industry would be **$500**.

→ **The estimated standalone selling price would be $1,400 under this approach.**

Estimate stand-alone price – Illustrated example

(3) Residual Approach.

The residual approach should only be used if (1) the entity does not have an established price for the telephone support and it has not been sold previously on a standalone basis or (2) the entity sells the same good or service to multiple customers for a wide variety of prices (highly variable).

Even if one of the two criteria is met, the company should maximize observable inputs to make an estimate as illustrated in the adjusted market assessment approach and the expected cost plus margin approach. If none of these are appropriate, the residual approach can be used.

Under the residual approach, Vendor Y determines the standalone selling price of the telephone support by reducing the transaction price ($6,000) by the amount of the observable standalone selling prices, or in this case, Product A ($5,000).

The remaining amount of $1,000 would be considered the standalone selling price of the **telephone support** under this approach.20

STEP 5 – RECOGNIZE REVENUE

Over time or a point in time
Contract costs

Revenue recognition

At a point of time

- Customer simultaneously receives and consumes as the entity performs
- Customer controls the asset enhanced or created **by the entity**
- Entity does not create an asset with an alternative use and has an enforceable right to payment.

Over time

- Control of goods or services is transferred **over time**

Contract costs

Cost to obtain a contract

- Capitalize and amortize in relation to revenue recognition.
- Example: sales commissions, legal fees, bonuses for employee.

Cost to fulfill a contract

- Capitalize if costs relate directly to contract, generate/enhance resources used in satisfying performance obligations in the future, and are expected to recover.

Contract cost - Example

Ex 1: A UK university offers a HCM agent of

$300k —commission

to introduce one student to study a 4-year degree. How should the University account for it?

➡
- Cost to obtain a contract
- Cost to fulfill a contract

Contract cost - Example

Ex 2: A human resource company signed a 3-year contract with a customer to manage the payroll, monthly salary payment and MPF at monthly fee of $100k. It had incurred the following costs:

- Computer hardware equipment $300
- Human resource software $200
- Design service $150
- Data cleaning and conversion $100

How to treat the various costs ?

➡
- Cost to obtain a contract
- Cost to fulfill a contract

